bilateral Strategic Economic Dialogue to discuss ways to further their economic engagement and clear any obstacles to doing so. At the Strategic Economic Dialogue, officials from the two countries discussed the prospects for aligning the “Make in India” initiative and the “Made in China 2025” policy.[15] Observers have argued that the March 2018 India–China Joint Group on Economic Relations, Trade, Science and Technology, together with the 5th Strategic Economic Dialogue meeting held a few weeks later, were a clear “testament to the fact that despite security and geopolitical concerns, there is recognition in both countries that there is potential for and mutual benefit in making India–China economic cooperation more robust.”[16]

Furthermore, despite India not signing up for the Chinese Belt and Road Initiative (BRI), India is in fact a top borrower in the China-led Asian Infrastructure Investment Bank (AIIB), established in 2015. During the first two years of its existence, the AIIB has approved funding for 24 infrastructure projects, five of which are in India. Totalling US$1.074 billion, loans to these five Indian projects accounted for almost 28 percent of the bank’s lending by January 2018. In fact, India also has a number of applications for AIIB funding awaiting approval.[17] This led Madhav Das Nalapat to argue that he expected other Chinese banks to lend to Indian companies, given what he sees as a combination of India’s funding needs and its “impeccable record” for servicing its loans.[18]

The Regional Comprehensive Economic Partnership (RCEP), the free trade agreement between the Association for Southeast Asian Nations (ASEAN) countries and the six Asia-Pacific states with which ASEAN currently holds agreements, was expected to be finalised during 2019 and would constitute the world’s largest trading bloc.[19] Initially, the schedule of RCEP negotiations was seen to create an impetus to fast-forward bilateral Sino–Indian negotiations on